

GCE A LEVEL

A520U10-1

PREDICTED PAPER – HARD

ECONOMICS – A level component 1

Economic Principles

1 hour 30 minutes

For Examiner's use only

Question	Maximum Mark	Mark Awarded
1-20	20	
21	3	
22	6	
23	3	
24	4	
25	8	
26	8	
27	8	
Total	60	

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Answer all questions.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question. A calculator may be used.

SECTION A

For each question in Section A, write the letter (A, B, C, D or E) that corresponds to your answer in the box provided.

1. An economy's labour force grows by 1.5% per year and its output per worker grows by 2.2% per year. However, the average number of hours worked per worker falls by 0.4% per year. The annual rate of actual economic growth is approximately: **[1]**
 - A 2.3%
 - B 2.7%
 - C 3.3%
 - D 3.7%
 - E 4.1%
2. According to the Coase theorem, in the presence of externalities, bargaining between the affected parties will lead to an efficient outcome provided that: **[1]**
 - A Government sets a Pigouvian tax equal to the external cost
 - B Property rights are well-defined and transaction costs are low
 - C The externality is a public good
 - D There is perfect information in the market
 - E The market is perfectly competitive
3. A firm's current price is £8 and quantity demanded is 1,000 units per week. The firm's accountants estimate that $PED = -1.5$ at this point. If the firm reduces price by 10%, total revenue will: **[1]**
 - A Rise by approximately £1,200/week
 - B Rise by approximately £600/week
 - C Rise by approximately £300/week
 - D Fall by approximately £400/week
 - E Remain unchanged
4. A drought in wheat-producing regions coincides with rising incomes in developing countries where wheat is a normal good. In the wheat market, the most likely outcome is: **[1]**
 - A Price rises, quantity falls
 - B Price rises, quantity rises
 - C Price falls, quantity rises
 - D Price rises, quantity change indeterminate
 - E Price change indeterminate, quantity rises
5. Following a sharp depreciation of its currency, a country's trade balance initially worsens before improving. This pattern is most commonly referred to as: **[1]**
 - A The Laffer curve
 - B The Phillips curve
 - C The J-curve effect
 - D The Kuznets curve
 - E The Okun curve
6. The short-run Phillips curve shifts upwards. The most likely cause is: **[1]**
 - A A rise in productivity
 - B An increase in labour force participation

- C An increase in expected inflation
- D A fall in commodity prices
- E A cut in the Bank Rate

7. A Lorenz curve that moves closer to the line of absolute equality indicates: **[1]**

- A A rise in income inequality
- B A fall in income inequality
- C An increase in GDP
- D A rise in the Gini coefficient
- E A fall in average incomes

8. In a market with linear supply and demand, the government imposes an indirect tax that reduces equilibrium quantity from 1,000 to 800 units. The tax per unit is £5. The deadweight (welfare) loss from the tax is: **[1]**

- A £250
- B £500
- C £750
- D £1,000
- E £2,000

9. For a price-discriminating monopolist to successfully charge different prices to different consumer groups, which of the following is NOT required? **[1]**

- A The ability to identify different consumer groups
- B Different PEDs between groups
- C The ability to prevent resale between groups
- D Some degree of monopoly power
- E Constant marginal costs across groups

10. 'Adverse selection' in the market for used cars ('lemons' problem) arises primarily because: **[1]**

- A Buyers know more about car quality than sellers
- B Sellers know more about car quality than buyers
- C The market has too few sellers
- D There is excessive government regulation
- E Cars are a public good

11. In an economy, the marginal propensity to consume is 0.75, the marginal tax rate is 0.2, and the marginal propensity to import is 0.15. The government spending multiplier is approximately: **[1]**

- A 1.25
- B 1.67
- C 2.00
- D 2.50
- E 4.00

12. The nominal interest rate is 4% and the expected inflation rate is 6%. Using the Fisher equation, the real interest rate is approximately: **[1]**

- A +10%
- B +2%
- C 0%
- D -2%

E -10%

13. The demand for a product has an income elasticity of demand of +2.5. This product is best classified as: **[1]**

- A** An inferior good
- B** A necessity
- C** A Giffen good
- D** A luxury (income-elastic normal) good
- E** A demerit good

14. Country X can produce 1 unit of good A in 4 hours OR 1 unit of good B in 6 hours. Country Y can produce 1 unit of good A in 2 hours OR 1 unit of good B in 4 hours. Which of the following is true? **[1]**

- A** Y has comparative advantage in A; X has comparative advantage in B
- B** X has comparative advantage in A; Y has comparative advantage in B
- C** Y has absolute advantage in both but no comparative advantage
- D** X has comparative advantage in both A and B
- E** No mutually beneficial trade is possible

15. An expansionary fiscal policy is most likely to cause significant 'crowding out' when: **[1]**

- A** The economy is in a deep recession with much spare capacity
- B** The economy is operating close to full employment
- C** Interest rates are at the zero lower bound
- D** Private investment is highly interest-inelastic
- E** Exchange rates are fixed

16. A country has a current account deficit of £40bn. In the same period, its capital and financial account shows a net inflow of £35bn. Assuming no errors or omissions, the change in official reserves is most likely: **[1]**

- A** A rise of £5bn
- B** A fall of £5bn
- C** A rise of £40bn
- D** A fall of £75bn
- E** Zero

17. The Marshall-Lerner condition states that a depreciation will improve the current account if: **[1]**

- A** Sum of PEDs for exports and imports > 0
- B** Sum of PEDs for exports and imports > 1
- C** PED for exports $>$ PED for imports
- D** Both PEDs are less than 1
- E** Both PEDs equal zero

18. In an oligopoly market, a Nash equilibrium occurs when: **[1]**

- A** All firms earn zero economic profits
- B** Each firm's strategy is the best response given the strategies of rival firms
- C** Firms collude to maximise joint profits
- D** Firms produce where $P = MC$
- E** One firm dominates the market completely

19. The behavioural economics concept of 'loss aversion' suggests that: **[1]**

- A** People value gains more than equivalent losses
- B** People value losses more than equivalent gains
- C** People are always rational utility maximisers
- D** People have stable preferences over time
- E** People always use full information when deciding

20. The demand function is $Q_d = 1000 - 20P$ and the supply function is $Q_s = 100 + 10P$ (where P is in £ and Q is in units/week). A specific tax of £6/unit is imposed on producers. The revenue raised by this tax is: **[1]**

- A** £2,160
- B** £3,240
- C** £3,960
- D** £4,800
- E** £5,400

SECTION B

Answer all the questions in the spaces provided.

- 21.** The diagram below shows a firm operating in monopolistic competition in long-run equilibrium. **[3]**

[Diagram: MC, AC, $D=AR$, MR curves. AC is tangent to AR at profit-maximising output Q_1 , with $P_1 = AC$ at Q_1]

Using the diagram, explain why the firm earns only normal profit in the long run.

- 22.** The diagram below shows an economy in equilibrium at P_1Y_1 . A major global supply-side shock (a sharp rise in world oil prices) hits the economy. **[6]**

[Diagram: AD/AS framework - SRAS, LRAS, AD intersecting at P_1Y_1]

Consider the extent to which monetary policy can restore the economy to its initial position. Adapt the diagram as part of your answer.

With the aid of a diagram, comment on the likely price elasticity of supply of housing in central London and its implications for house prices.

[illegible]

[Diagram: LRAC curve - falling sharply from 100 MW to 2,000 MW (minimum efficient scale), roughly flat from 2,000 to 4,000 MW, then rising after 4,000 MW]

[illegible]

	BigBasket: High Advertising	BigBasket: Low Advertising
Tesla-Mart: High Advertising	£12m, £10m	£25m, £4m
Tesla-Mart: Low Advertising	£6m, £22m	£18m, £15m

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and extend across the width of the page. There are no margins, text, or other markings on the paper.

26. Read the following information about healthcare in the UK: **[8]**

The NHS budget has risen from £123bn in 2013/14 to approximately £190bn in 2023/24. In real terms (adjusted for inflation), this represents an average annual real-terms increase of about 1.5%. However, the long-run historical average is 3.7% real growth per year.

Key pressures on the NHS include:

- Ageing population: 18% of UK population is now aged 65+ (vs 16% in 2011)
- Median NHS waiting time for elective surgery has risen from 7 weeks (2010) to 14 weeks (2023)
- Private healthcare spending in the UK has risen by 50% in real terms since 2015
- Over 7 million people are currently on NHS waiting lists (vs 2.5m in 2012)
- Obesity, mental health and long-Covid cases all rising sharply

Critics argue the funding model is unsustainable; supporters argue that increasing investment would correct market failures in healthcare provision.

With reference to the data above, consider the extent to which increased government spending on the NHS is the best way to correct market failure in healthcare.

[illegible]

27. The table below gives information on selected economies in the context of globalisation: **[8]**

Country	Trade openness (X+M as % GDP)	FDI inflow (% GDP)	Average growth rate 2000–2020 (% p.a.)	Gini coefficient	HDI
Singapore	320%	20.1%	4.7%	0.46	0.938
South Korea	85%	1.2%	4.0%	0.35	0.925
Vietnam	210%	6.3%	6.2%	0.36	0.704
China	38%	1.8%	8.9%	0.47	0.764
Nigeria	31%	0.7%	4.1%	0.35	0.535
North Korea	~5%	~0%	est. 1–2%	n/a	est. <0.5

Using the information above and relevant economic theory, discuss the extent to which openness to trade and foreign investment is the most effective driver of economic development.

[illegible]

END OF PAPER